

How would you fix her situation?

Write two paragraphs. The first paragraph should state what you think she is doing wrong. The second paragraph should state what you think she should do to fix her situation. Use the principles that you learned in this class.

Notes:

Moved out, now living at Home

Started 2022: Cosmetology School - Incomplete / Didn't graduate (1 year complete)

Didn't attend classes

\$45,000 (debt) / \$40,000 a year revenue (job)

Mindset → teachers were bad / victims?

No goal, no saving money, irresponsibly spending money → 2025 Honda HRV

Randomly applying to jobs (without reason) "opportunity"?

\$599 monthly car payment (24% of income) → 72 months

\$2500 monthly revenue

Mindset → Successful = Able to pay off bills, go to work everyday, trying to get another job

Uses pay advances → receive paycheck early (borrow \$\$)

Overly confident → work security, job applying

Mindset → Not poor, just broke?

Affirm (Buy Now, Pay Later) → 36% interest | Maxed out credit card

(Response on Next Page)

How would you fix her situation?

She is making several financial and personal decisions that are keeping her stuck in debt and keeping her from moving forward in life. She started in cosmetology school but failed to finish more than one year of credits after attending for three years. She blames her teachers for not teaching well which was her reason for not attending classes. She holds a victim mindset that prevents her from learning from her past mistakes and choices. Financially, she is overspending on Affirm, credit cards, and other payments such as her \$599 car payment for 72 months. (24% of her income). Her definition of success is simply showing up to work and paying off her bills which she can hardly keep up with. With her random job applications and lack of direction, she is likely to increase her income any time soon.

To fix her situation, she first needs to take responsibility for her actions and mistakes as well as changing her mindset and focusing on budgeting and paying off her debt. She should build a budgeting program that focuses on paying off debt, and refraining from unneeded purchases, while still staying on top of current bills. Selling or refinancing her car would be a good start as it would free up a big chunk of her monthly income. She should also avoid affirming or using her credit card as those build interest and make you end up paying more than originally. Career-wise, she needs to at least finish her cosmetology schooling if not changing her degree to a better paying job. And finally, she needs to develop some discipline and a plan for her job applications and long-term life goals, so she can move from being "just broke" to financially stable.